AMKR

Amkor Technology, Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$41.82 [Mkt 17-Oct-26]

Market Cap: $10.4B [Mkt 17-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 62

Scale leader among OSATs with a solid balance sheet (D/E 0.28, current ratio ~2.1) and a dividend. But it is a capital-intensive, cyclical toll road: 15.5% gross and 10.5% operating margins cap structural quality.

2. Recent Trend — 72

Revenue bottomed at $6.32B in FY2024, now running at $7.46B TTM with +25.6% growth in Q2. Three straight earnings beats; net margins expanded from 3.6% to 9.15% YoY. The -38% six-month stock slide is the tempering factor.

3. Forward Growth — 68

Q3 guide of $0.72-0.82 EPS and consensus FY EPS of $2.60 (+73%) confirm the recovery. AI advanced packaging and US onshore capacity are real levers, though OSAT growth stays cyclical and capex-heavy.

4. Valuation — 68

DCF base $47.97 implies ~15% upside from $41.82; even the bear-case implied CAGR of 4% sits above the market's pessimistic 1.9%. Forward P/E of 14.9x and EV/revenue of 1.6x are cheap vs AI semi peers.

5. Catalysts & Risk — 62

Q3 earnings on Oct 26 with $0.79 consensus (+55% YoY) is the near-term catalyst; analyst targets average $68.33 (+63%). But the post-beat selloffs, cyclicality and heavy capex keep the skew balanced rather than bullish.

Investment Thesis

- **Recovery With Teeth:** Revenue troughed at $6.32B in FY2024 and is running at $7.46B TTM. Three straight earnings beats, with Q2 EPS up 218% YoY to $0.70 vs $0.47 consensus [8-K].
- **AI Packaging Lever:** The largest US-headquartered OSAT, with advanced packaging, wafer-level processing and SiP exposure to AI accelerator demand [8-K].
- **Pessimism Priced In:** At $41.82, the reverse DCF implies just 1.9% 5-year growth, below our 4% bear case. DCF base $47.97 is +15% upside; analyst targets average $68.33 (+63%) [DCF sheet, Mkt 17-Oct-26, Cons].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 FY26)	$1.90B [8-K]	+25.6% [8-K]	Up
EPS (Q2 FY26)	$0.70 [8-K]	+218% YoY [8-K]	Up
Q3 FY26 EPS Guide	$0.72-0.82 [8-K guid]	+55% YoY [Cons]	Flat
Net Margin (Q2 FY26)	9.15% [10-Q Q2 FY26]	+5.6 pts [10-Q Q2 FY26]	Up
Gross Margin (Q2 FY26)	16.8% [10-Q Q2 FY26]	+4.8 pts [10-Q Q2 FY26]	Up
FY2026 Consensus EPS	$2.60 [Cons]	+73% [Cons]	Up
Dividend	$0.0835/qtr (0.76% yield) [8-K]	14.8% payout [8-K]	Flat
Debt-to-Equity (FY25)	0.28 [10-K FY25]	Down from 0.39 [10-K FY25]	Flat

Historical Financial Trend

METRIC	Q2 '25	Q3 '25	Q4 '25	Q1 '26	Q2 '26
Revenue	$1.51B [10-Q Q2 FY25]	$1.99B [10-Q Q3 FY25]	$1.89B [10-Q Q4 FY25]	$1.68B [10-Q Q1 FY26]	$1.90B [10-Q Q2 FY26]
Gross Margin	12.0% [10-Q Q2 FY25]	14.3% [10-Q Q3 FY25]	16.7% [10-Q Q4 FY25]	14.2% [10-Q Q1 FY26]	16.8% [10-Q Q2 FY26]
Net Margin	3.6% [10-Q Q2 FY25]	6.4% [10-Q Q3 FY25]	9.1% [10-Q Q4 FY25]	5.0% [10-Q Q1 FY26]	9.2% [10-Q Q2 FY26]

Valuation

Absolute (6/10)

Fwd P/E (NTM) 14.9x [Mkt 17-Oct-26]
DCF Base $47.97 vs $41.82 spot = +15% upside [DCF sheet]
Implied 5-yr revenue CAGR 1.9%, below bear case 4% [DCF sheet]

The market prices near-stagnation while even the bear case needs only 4% growth. Absolute valuation is reasonable with a modest margin of safety.

Versus Peers (6/8)

AI semi peers 25-45x fwd P/E [Peers 17-Oct-26]
AMKR 14.9x, PEG 0.76 [Mkt 17-Oct-26]

Trades at a deep discount to chip designers on forward earnings, fair for a capital-intensive OSAT but cheap given the recovery trajectory.

Versus History (5/7)

52-wk range $29.50-96.68 [Mkt 17-Oct-26]
Current $41.82, -57% below the high

De-rated sharply from the spring high after profit-taking; now trading in the lower half of its one-year range despite improving fundamentals.

Catalyst Timeline

Oct 26, 2026 [Cons]
Q3 FY26 Earnings (Two-Sided): Consensus $0.79 EPS (+55% YoY), $2.02B revenue. Note: the last two beats were followed by -5.6% and -24.7% one-day reactions.

2026-2027 [8-K guid]
AI Advanced Packaging Demand (Positive): 2.5D,

Top Risk Factors (Item 1A)

1. Beat-and-Drop Pattern: The stock fell 24.7% the day after the Q2 beat and 5.6% after Q1's. Expectations and positioning matter more than the print itself. [Cons]

2. Cyclical, Capital-Intensive: OSAT is a low-margin toll road with heavy capex requirements. A smartphone or memory downturn would hit utilization and margins hard. [10-K FY25]

wafer-level and SiP exposure to AI accelerator demand; US-headquartered OSAT advantage.

Quarterly [8-K]
Dividend (Positive): $0.0835 per quarter, 0.76% yield, 14.8% payout ratio. Modest but durable through the cycle.

What Would Change Our Score

A Q3 beat with raised Q4 guidance would validate the +73% FY EPS consensus and likely close the gap to the $68.33 analyst target; a guide-down or another post-beat selloff would cut Trend and confirm the multiple compression.

3. Customer Mix: Revenue concentrates in mobile and consumer end markets. AI packaging is growing but not yet large enough to carry a down cycle. [10-K FY25]

Forward Growth Drivers

- Q2 revenue $1.90B (+25.6% YoY), EPS $0.70 vs $0.47 consensus, the third straight big beat [8-K]
- Q3 EPS guide $0.72-0.82; consensus FY EPS of $2.60 implies +73% growth [8-K guid]
- Largest US-headquartered OSAT riding AI advanced-packaging demand [8-K]

Missing / Modified Data Log

- Segment split (mobile vs AI packaging mix) not disclosed; used total revenue trajectory.
- ROIC not explicitly disclosed; used margin trajectory and leverage qualitatively.

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